

small profit on a time investment I made years earlier. The content is an asset that is salable, over and over again, and with each sale, the effective time cost declines while the hourly rate of return expands.

Seedling 4: Distribution Systems (Passivity Grade: B)

A distribution system is any structure or organization designed to move products to the masses. Distribution systems can be hybrids with the other seedlings, such as content and computer systems.

If you invent and manufacture a new product and sell it on QVC, you are leveraging a distribution system. If you sell that product via infomercial at 2 a.m., you are leveraging a distribution system. If you sell your product to four wholesale distributors that, in turn, sell it to retailers like Wal-Mart and Target, you are leveraging a distribution system.

When inventing any product, the invention is always half the battle. Distribution is the other. The greatest product in the world goes unused if it isn't leveraged into the proper distribution system—either one that exists, or one that you create.

Amazon.com is one example of a distribution system that I use. This book sells on Amazon and is available to millions. However, a book sitting on Amazon represents unrealized potential, like a 1,000 horsepower car sitting in the garage. It is my job to turn the engine on and drive the power of the distribution system. The tool exists, ready to be exploited by successful (or failed) execution.

Our iPhone developer leveraged the iPhone “App Store” to move his software. This was his distribution point. Without the distribution, he couldn't sell software.

Distribution is a means to move product to the masses. Some systems are better than others and when it comes to distribution, it all depends on the control structure. If you *create* a network marketing company to sell your new vitamin product, you are creating a powerful distribution network capable of earning millions. If you *join* a network marketing company, you are electing to be a gear in the distribution process.

Another potent form of distribution is franchising and/or chaining. When a successful store concept is branded and systemized, it can be replicated and sold to other individuals. Savvy Fastlane entrepreneurs recognize that a successful local business with weak leverage can be made highly leveraged by franchises or chains. Does this path sound familiar? It should; this is what Starbucks did to become the biggest coffee chain in the world.

Other restaurants deploy a combination of chains and franchises. Dairy Queen and McDonalds have both chains and franchises. If your business operates in limited scale, it can be conquered with chains and franchises. If you own one hot-dog cart and sell at one location, there is no leverage. If you own 500 hot-dog carts and sell at 500 locations through 500 owner-operators, suddenly leverage appears. The Fastlane wealth equation has power.